

MUCH DONE, MORE NEEDED

● Tax reforms and labour codes expected to give a push to manufacturing



MEASURES UNDERTAKEN

- ⊕ **Tax policy, including competitive corporate tax, GST rates**
- ⊕ **Labour reforms with notification of Labour Codes**
- ⊕ **Focus on deregulation and decriminalisation of minor offences**
- ⊕ **Easier credit access to MSMEs to build scale**
- ⊕ **Policy for Semiconductors, PLI Scheme, plug-and-play industrial parks**
- ⊕ **Several FTAs signed to help open markets, boost exports**

WHAT NEEDS TO BE DONE

- ⊕ **Further deregulation and easing compliance burden**
- ⊕ **Reforms to enable easier and faster land acquisition**
- ⊕ **Strengthening of domestic supply chains and value addition**
- ⊕ **More focus on R&D and innovations, technology-led manufacturing**
- ⊕ **Better logistics and industrial infrastructure for faster shipments**
- ⊕ **Deeper FTAs to enable greater market access for products**

of the private sector capex, a pre-condition for greater manufacturing activity, some nascent signals hint at higher private investments, at least in some sectors. Indian companies are also increasingly looking towards

future technology and adoption of AI to boost efficiency and growth. R&D spends have also been on the rise with private sector expenditure outpacing that of the government for the first time in FY24.

Gross expenditure on R&D as percentage of GDP rose to a record 0.84% in FY24 but remained below the NITI Aayog recommendation of 2%. Rakesh Mohan and Kathuria both underline that R&D initiatives are a must to become a hub for hi-tech manufacturing. Kathuria says India has the potential to become a manufacturing hub with the changing global trade dynamics. “The two major global economies, the US and China, are proving to be increasingly whimsical and are weaponising trade. This provides India another opportunity on both trade and manufacturing. It should stand up to be counted as a serious and reliable partner for the middle powers,” he says, adding that even doubling our merchandise exports will increase India’s share in global goods exports to 4% from 1.8%.

“This is not inconceivable—in fact, it is necessary—and a focus on manufactured exports will also provide good quality employment.”

But reforms will have to continue to ensure that India is home to more factories that create jobs for its workforce. The government is also upbeat that manufacturing in India will continue to grow over the next few years. Measures taken till now are already bearing fruit and will show more results going forward. “In any case, this is a top priority for the government, and more measures will be taken as and when the need arises. This is a continuous process and not a one-stop shop,” says a senior official.

Over the next few pages, walk with BT as we take you on a journey around the country, giving you a peek into states and companies building and strengthening their manufacturing ambitions and taking Make in India to newer frontiers. **BT**

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